

Granules USA, Inc.

Financial statements

March 31, 2021 and March 31, 2020

KNAV P.A.

Certified Public Accountants

One Lakeside Commons, Suite 850,
990 Hammond Drive NE, Atlanta, GA 30328



America Counts on CPAs

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Independent Accountant's Review Report

To Board of Directors,
Granules USA, Inc.

We have reviewed the accompanying balance sheets of Granules USA, Inc. ('the Company') as at March 31, 2021 and March 31, 2020, and the related statements of income, stockholder's equity(deficit) and cash flow for the years then ended. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion.

Management's responsibility for the financial statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement whether due to fraud or error.

Accountant's responsibility

Our responsibility is to conduct the review engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.

Accountant's conclusion

Based on our review, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in accordance with accounting principles generally accepted in the United States of America.

KNAV P.A.

Atlanta, Georgia
June 11, 2021

KNAV P.A.

Certified Public Accountants

One Lakeside Commons, Suite 850, 990 Hammond Drive NE, Atlanta, GA 30328 T 1 678 584 1200 F 1 770 676 6082 E admin@knnavcpa.com
2021-142-US

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Balance sheets*(All amounts are in United State Dollars, unless otherwise stated)***ASSETS****Current assets**

Cash and cash equivalents	1,978,036	591,441
Accounts receivable, net	12,499,200	7,294,619
Inventories	15,216,834	5,695,111
Prepaid expenses and other current assets	568,402	66,335

Total current assets

30,262,472	13,647,506
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Property & equipment, net

34,320 50,658

Intangible assets, net

- 46

Deferred tax asset

106,195 696,666

Other assets

37,088 37,088

Total assets

30,440,075	14,431,964
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LIABILITIES AND STOCKHOLDER'S EQUITY**Current liabilities**

Accounts payable 28,169,214 13,582,935

Other current liabilities 391,174 440,041

Total current liabilities

28,560,388	14,022,976
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Total liabilities

28,560,388	14,022,976
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Stockholder's equity

Common stock 70,000 70,000

Additional paid in capital 180,000 180,000

Accumulated deficit 1,629,687 158,988

Total stockholder's equity

1,879,687	408,988
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Total liabilities and stockholder's equity

30,440,075	14,431,964
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*(The accompanying notes are an integral part of these financial statements)**(See independent accountant's review report)*

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Statements of income*(All amounts are in United States Dollars, unless otherwise stated)*

	Year ended March 31, 2021	Year ended March 31, 2020
Revenue from operations	69,612,400	47,984,460
Less: Cost of revenue	62,171,747	41,623,234
Gross profit	7,440,653	6,361,226
Operating cost and expenses		
Selling, general and administrative expenses	5,899,991	5,494,550
Depreciation and amortization	21,197	33,748
Total operating cost and expenses	5,921,188	5,528,298
Operating profit	1,519,465	832,928
Other income (expense)		
Interest expense	(4,215)	(249)
Other income (expense)	407,000	(1,685)
Profit before taxes	1,922,250	830,994
Income tax expense		
Current tax (benefit) expense	(138,919)	125,711
Deferred tax expense (benefit)	590,470	(91,478)
Net profit	1,470,699	796,761

*(The accompanying notes are an integral part of these financial statements)**(See independent accountant's review report)*

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Statement of stockholder's equity deficit*(All amounts are in United States Dollars, except number of shares)*

Particulars	Common stock		Additional paid in capital	Accumulated (deficit) surplus	Total Stockholder's (deficit) equity
	Shares	Amount			
Balance as at April 01, 2019	700,000	70,000	180,000	(637,773)	(387,773)
Net profit for the year	-	-	-	796,761	796,761
Balance as at March 31, 2020	700,000	70,000	180,000	158,988	408,988
Balance as at April 01, 2020	700,000	70,000	180,000	158,988	408,988
Net profit for the year	-	-	-	1,470,699	1,470,699
Balance as at March 31, 2021	700,000	70,000	180,000	1,629,687	1,879,687

*(The accompanying notes are an integral part of these financial statements)**(See independent accountant's review report)*

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Statements of cash flows*(All amounts are in United States Dollars, unless otherwise stated)*

	Year ended March 31, 2021	Year ended March 31, 2020
Cash flow from operating activities		
Net profit	1,470,699	796,761
Adjustments to reconcile net income to net cash (used in) operating activities		
Depreciation and amortization	21,197	33,748
Provision for doubtful debts	114,898	-
Deferred tax expense (benefit)	590,470	(91,478)
Loss on sale of equipment	-	1,684
<i>Changes in current assets and current liabilities</i>		
Accounts receivable, net	(5,319,478)	444,724
Inventories	(9,521,722)	2,311,869
Prepaid expenses and other current assets	(502,065)	120,961
Accounts payable	14,586,277	(3,505,352)
Other current liabilities	(48,867)	99,269
Net cash provided by operating activities	1,391,409	212,186
Cash flow from investing activities		
Purchase of property and equipment	(4,814)	(3,636)
Net cash used in investing activities	(4,814)	(3,636)
Net increase in cash and cash equivalents during the year	1,386,595	208,550
Cash and cash equivalents at the beginning of the year	591,441	382,891
Cash and cash equivalents at the end of the year	1,978,036	591,441
Supplemental cash flow information		
Income tax paid, net	313,360	2,577

*(The accompanying notes are an integral part of these financial statements)**(See independent accountant's review report)*

Notes to Financial Statements

(All amounts are in United State Dollars, unless otherwise stated)

NOTE A - NATURE OF OPERATIONS

Granules USA, Inc (“Granules” and “the Company”) was incorporated on March 5, 2003 in Delaware. Granules is a wholly owned subsidiary of Granules India Limited (“GIL”), a company incorporated in India.

Granules acts as an exclusive front-end value chain for GIL and develops market for the products manufactured by GIL. The business of GIL comprises of manufacture and sale of pharmaceutical products.

NOTE B - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A summary of the significant accounting policies applied in the preparation of the accompanying financial statements are as follows:

1. *Basis of preparation*

- a. The accompanying financial statements are prepared under the historical cost convention on the accrual basis of accounting in accordance with the accounting and reporting requirements of generally accepted accounting principles in the United States of America (“US GAAP”) to reflect the financial position, results of operations and cash flows of the Company.
- b. These financial statements are presented for the year ended March 31, 2021 and March 31, 2020.

2. *Estimates and assumptions*

The preparation of financial statements and related disclosures in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and revenues and expenses during the period reported. Actual results could differ from those estimates. Significant items subject to such estimates and assumptions include the useful lives of property, machinery and equipment, allowances for doubtful accounts, recognition of deferred tax assets, inventories, and provision for employee benefit obligations, income tax uncertainties, and other contingencies. The estimates are made using historical information and other relevant factors available to management. Management believes that the estimates used in the preparation of the financial statements are prudent and reasonable. Actual results could differ from these estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Any revision in accounting estimate is recognized prospectively in the current and future period.

3. *Cash and cash equivalents*

The Company considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents. The carrying value of cash and cash equivalents approximates fair value because of the short maturities of those financial instruments. The Company believes it is not exposed to any significant risk on cash and cash equivalents.

4. *Accounts receivable & allowance for doubtful accounts*

Accounts receivable are recorded at the invoiced amount and do not bear interest. The Company maintains an allowance for doubtful accounts for estimated losses inherent in its accounts receivable portfolio. In establishing the required allowance, management considers historical losses adjusted to take into account

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current market conditions and the customers' financial condition, the amounts of receivables in dispute, and the current receivables ageing and current payment patterns. The Company reviews its allowance for doubtful accounts monthly. Past due balances over 180 days and over a specified amount are reviewed individually for collectability. Allowance for doubtful accounts is included in marketing and selling expenses in the statement of income. The Company charges off uncollectable amounts against the reserves in the period in which it determines they are uncollectable.

5. Property and equipment

Property and equipment are stated at cost less accumulated depreciation and impairment. Cost of items of property, and equipment comprises cost of purchase and other costs necessarily incurred to bring it to the condition and location necessary for its intended use.

The Company depreciates property and equipment over the estimated useful life using the straight-line method. Expenditures for maintenance and repairs are charged to expense. Upon retirement or disposal of assets, the cost and accumulated depreciation are eliminated from the accounts and the resulting gain or loss is credited to statements of income.

The estimated useful lives used to determine depreciation are:

Nature of assets	Estimated useful life of assets
Furniture and fixtures	3 to 7 years
Computers	3 to 5 years
Equipment	3 to 7 years
Vehicles	5 years
Improvements	15 years

6. Intangible assets

The Company amortizes intangible assets over their estimated useful lives unless such lives are determined to be indefinite. Amortizable intangible assets are amortized over their estimated useful lives in proportion to the economic benefits consumed in each period. Intangible assets with indefinite lives are tested at least annually for impairment and written down to the fair value as required.

Nature of assets	Estimated useful life of assets
Technical know how	15 years

7. Impairment of long-lived assets

Long-lived assets, including certain identifiable intangible assets, to be held and used are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of such assets may not be recoverable. Such assets are considered to be impaired if the carrying amount of the assets is higher than the future undiscounted net cash flows expected to be generated from the assets. The impairment amount to be recognized is measured by the amount by which the carrying value of the assets exceeds its fair value.

8. Revenue recognition

The Company adopted Accounting Standards Update (ASU) No. 2014-09, Revenue from Contracts with Customers (Topic 606) as of April 01, 2019.

Revenue is recognized when obligations under the terms of a contract with a customer are satisfied; generally, this occurs with the transfer of control of the Company's products. The Company's global payment terms are typically between 30-75 days. Revenue is measured as the amount of consideration the Company expects to

receive in exchange for transferring goods. A performance obligation is a promise in a contract to transfer a distinct good to the customer and is the unit of account in the contract. A contract's transaction price is allocated to each distinct performance obligation and recognized as revenue when, or as, the performance obligation is satisfied.

The Company's performance obligations are satisfied at a point in time. This includes sales of the Company's portfolio of paracetamols and other product. For most of these sales, the Company's performance obligation is satisfied upon delivery to the customer. Shipping and handling activities are fulfillment activities and are not considered to be a separate performance obligation.

Significant judgments

Provisions for sales discount, damaged product returns, exchanges of expired products are established as a reduction of product sales revenue at the time such revenues are recognized. Certain discount and rebate programs extended to customers pursuant to the industry standards, are recognized as a reduction from product sales revenue at the time of revenue recognition.

Please refer Note N "Revenue from contracts with customers" for further information on the Company's revenue.

9. *Leases*

The Company accounts for the lease of its office space as an operating lease. The related rentals are charged to expense based on the lease agreement in the period it is incurred.

10. *Income taxes*

Income taxes are accounted for under the asset and liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statements carrying amounts of existing assets and liabilities and their respective tax bases and operating loss and tax credit carryforwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. A valuation allowance is recorded for deferred tax assets if it is more likely than not that some portion or all of the deferred tax assets will not be realized. ASC 740 also provides guidance on measurement, de-recognition, classification, interest and penalties, accounting in interim periods, disclosure and transition. All deferred tax assets and liabilities, along with any related valuation allowance, is classified as non-current on the balance sheets.

The Company recognizes liabilities for uncertain tax positions based on a two-step process. The first step is to evaluate the tax position for recognition by determining if the weight of available evidence indicates it is more likely than not that the position will be sustained on audit, including resolution of related appeals or litigation processes, if any. The second step is to measure the tax benefit as the largest amount which is more than 50% likely of being realized upon ultimate settlement. The Company recognizes interest and penalties related to uncertain tax positions within the provision for income taxes.

11. *Commitments and contingencies*

Liabilities for loss contingencies arising from claims, assessments, litigations, fines, penalties and other sources are recorded when it is probable that a liability has been incurred and the amount can be reasonably estimated. Legal costs incurred in connection with loss contingencies are expensed as incurred. Contingent liabilities are not recognized but disclosed in notes. Contingent assets are neither recognized nor disclosed.

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12. Retirement and employee benefits

Contribution to defined contribution plans is charged to statements of income in the year in which they accrue.

13. Government grant

Government grant is recognized only when there is a reasonable assurance that (a) entity will meet the terms attached to the grant and (b) the grant will be received. Accordingly, the Company recognizes grants as other income in the statement of income when all the terms have been satisfied and forgiveness is reasonably assured.

14. Fair value measurements and financial instruments

Assets and liabilities recorded at fair value in the financial statements are categorized based upon the level of judgment associated with the inputs used to measure their fair value. Hierarchical levels which are directly related to the amount of subjectivity associated with the inputs to the valuation of these assets or liabilities are as follows:

Level 1 – Unadjusted quoted prices in active markets for identical assets or liabilities that the Company has the ability to access as of the measurement date.

Level 2 – Inputs other than quoted prices included within Level 1 that are directly observable for the asset or liability or indirectly observable through corroboration with observable market data.

Level 3 – Unobservable inputs for the asset or liability only used when there is little, if any, market activity for the asset or liability at the measurement date.

This hierarchy requires the Company to use observable market data, when available, and to minimize the use of unobservable inputs when determining fair value. The Company's financial instruments consist of cash and cash equivalents, accounts receivable, accounts payable, and accrued liabilities. The estimated fair value of cash, accounts receivable, accounts payable and accrued liabilities approximate their carrying amounts due to the short-term nature of these instruments. None of these instruments are held for trading purposes.

15. Recent Accounting Pronouncements

In February 2016, the FASB issued ASU 2016-02, Leases, which requires lessees to recognize right-of-use assets, representing their right to use the underlying asset for the lease term, and lease liabilities on the balance sheet for all leases with terms greater than 12 months. The guidance also requires qualitative and quantitative disclosures designed to assess the amount, timing and uncertainty of cash flows arising from leases. The standard requires the use of a modified retrospective transition approach, which includes a number of optional practical expedients that entities may elect to apply. The guidance is effective for annual periods beginning after December 15, 2021, and interim periods within annual periods beginning after December 15, 2022. Early adoption is permitted. The Company is currently evaluating the impact of the same.

NOTE C - CASH AND CASH EQUIVALENTS

Cash and cash equivalents comprise the following:

	As at March 31, 2021	As at March 31, 2020
Bank balance	1,978,036	591,441
Total	1,978,036	591,441

Cash balances on deposits with banks in the United States are insured by the Federal Deposit Insurance Corporation up to an aggregate of \$250,000.

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NOTE D - ACCOUNTS RECEIVABLE, NET

The Company maintains an allowance for doubtful debts on all accounts receivable, based on present and prospective financial condition of the customer and aging of accounts receivable after considering historical experience and the current economic environment.

Accounts receivable, net comprise the following:

	As at March 31, 2021	As at March 31, 2020
Due from customers	12,499,200	7,294,619
Less: allowance for doubtful debts	-	-
Total	12,499,200	7,294,619

Movement in the allowance of doubtful accounts is shown as under:

	Year ended March 31, 2021	Year ended March 31, 2020
Balance at beginning of the year	-	187,800
Provision during the year	114,898	-
Amounts written off during the year	(114,898)	(187,800)
Balance at the end of the year	-	-

NOTE E - INVENTORIES

Inventories comprise the following:

	As at March 31, 2021	As at March 31, 2020
Packaging material	569,026	324,599
Finished goods	14,742,716	5,378,212
Inventory reserve	(94,908)	(7,700)
Total	15,216,834	5,695,111

Movement in inventory reserve is shown as under:

	Year ended March 31, 2021	Year ended March 31, 2020
Balance at beginning of the year	7,700	-
Provision during the year	87,208	7,700
Provision written off during the year	-	-
Balance at the end of the year	94,908	7,700

NOTE F - PREPAID EXPENSES AND OTHER CURRENT ASSETS

Prepaid expenses and other current assets comprise the following:

	As at March 31, 2021	As at March 31, 2020
Freight receivable	-	22,171
Income tax receivable	568,402	44,164
Total	568,402	66,335

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NOTE G - PROPERTY & EQUIPMENT, NET

Property & equipment, net comprises the following:

	As at March 31, 2021	As at March 31, 2020
Automobile	45,970	45,970
Furniture and fixtures	58,787	58,787
Leasehold improvements	26,952	26,952
Pharmaceutical equipment	65,309	65,309
Office equipment	64,814	60,002
Less: Accumulated depreciation	(227,512)	(206,362)
Total	34,320	50,658

Depreciation expense for the year ended March 31, 2021 and year ended March 31, 2020 was \$21,151 and \$33,568, respectively

NOTE H - INTANGIBLE ASSETS, NET

Intangible assets, net comprises the following:

	As at March 31, 2021	As at March 31, 2020
Tradename	46	4,474
Less: Accumulated amortization	(46)	(4,428)
Total	-	46

Amortization expense for the year ended March 31, 2021 and March 31, 2020 is \$46 and \$211.

NOTE I - OTHER CURRENT LIABILITIES

Other current liabilities comprise the following:

	As at March 31, 2021	As at March 31, 2020
Employee benefits	192,954	299,008
Statutory liabilities	-	5,027
Advance from customer	-	9,746
Other payables & provisions	198,220	126,260
Total	391,174	440,041

NOTE J - RETIREMENT BENEFITS

The Company has a 401(k) Defined Contribution plan. Under the plan, each employee can elect to participate after meeting the minimum age requirement and other eligibility requirements set forth in the Adoption Agreement. The Company makes a matching contribution to the plan up to 2% of employee wages for those electing to participate in the plan. The total employer contribution for the year ended March 31, 2021 and March 31, 2020, was \$40,819 and \$39,993. The 401k contribution is charged to expense in the period in which they are incurred.

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NOTE K - INCOME TAXES

For the year ended March 31, 2021, the Company will file federal and state tax returns as per regulations applicable to Chapter C corporations in the United States of America.

The components of the provision for income taxes are as follows:

	Year ended March 31, 2021	Year ended March 31, 2020
Current tax		
Federal	(268,673)	119,211
State	129,754	6,500
Deferred tax		
Federal	555,906	(142,021)
State	34,564	50,543
Income tax expense	451,551	34,233

The items accounting for the difference between income taxes computed at the federal statutory rate and the provision for income taxes are as follows:

	Year ended March 31, 2021	Year ended March 31, 2020
Income tax at federal rate	403,987	174,519
Deferred tax true up - federal	565,699	(630)
State tax, net of federal effect	137,069	56,308
Permanent differences	(86,802)	1,190
Impact on carryback of net operating losses	(568,402)	(197,154)
	451,551	34,233

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the Company's net deferred income taxes are as follows:

	As at March 31, 2021	As at March 31, 2020
Non-current deferred tax liabilities:		
- Depreciation and amortization	(4,991)	(7,860)
Total deferred tax liability	(4,991)	(7,860)
Non-current deferred tax assets:		
- Net operating losses	7,832	618,920
- Accrued bonus	34,184	65,288
- Provision for expiry stock	24,842	4,304
- Inventory	42,482	14,251
- Deferred revenue	1,846	1,763
	111,186	704,526
Net deferred tax assets	106,195	696,666

Realization of net deferred tax assets is dependent upon generation of sufficient taxable income in future years, benefit from the reversal of taxable temporary differences and tax planning strategies. Management assesses the available positive and negative evidence to estimate whether sufficient future taxable income will be generated to permit use of the existing deferred tax assets. The amount of net deferred tax assets considered realizable is subject to adjustment in future periods if estimates of future taxable income change.

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The Company has recognized deferred tax asset of \$106,195 and \$696,666 as of March 31, 2021 and March 31, 2020 on account of temporary differences arising out for tax purposes.

The Company had federal net operating loss of \$1,767,853 as at March 31, 2020, however company has applied for carryback and amount receivable as at March 31, 2021 is \$618,920.

The Company has state net operating loss carryforwards of approximately \$178,886 and \$557,909 as at March 31, 2021 and March 31, 2020 respectively, which if unutilized will expire based on the state statutes.

Accounting for uncertain tax positions

The Company recognizes the benefit of a tax position only after determining that the relevant tax authority would more likely than not sustain the position following an audit. For tax positions meeting the more-likely-than-not threshold, the amount recognized in the financial statements is the largest benefit that has a greater than 50% likelihood of being realized upon ultimate settlement with the relevant tax authority. Interest and penalties, if incurred, are recognized in the statement of income.

The Company has no unrecognized tax positions at March 31, 2021 and March 31, 2020. The tax years of 2017 through 2019 remain subject to examination by the taxing authorities.

NOTE L - COMMITMENTS AND CONTINGENCIES

The Company leases the premises under the long-term operating lease arrangement. The Company entered into a lease for the new premises on November 1, 2014 for a lease period of 88 months. The rent expense for office space was \$82,854 and \$81,779 for the year ended March 31, 2021 and March 31, 2020.

Future minimum payments under non-cancelable operating leases for the fiscal years ending March 31 are as follows:

Year ended March 31	Amount (\$)
2022	82,238

Open litigation as of March 31, 2021

- a) There is a large multi-district litigation (MDL) pending in the United States District for the Southern District of Florida. The claims in the Master Personal Injury Complaint ('MPIC') include personal injury claims by plaintiffs that the Zantac and/or ranitidine manufactured and/or sold by defendants was contaminated with NDMA. Of note, the FDA did require all companies that sold Zantac and/or ranitidine to recall the products in late 2019. There are currently approximately 96 plaintiffs that have filed individual Short Form Complaints against the Granules entities. Plaintiffs claim that they developed numerous types of cancer as a result of the NDMA in the ranitidine product manufactured by Granules India and sold by Granules USA. The litigation is still in the litigation stage with Motions to Dismiss still pending. However, the court has also set an aggressive discovery schedule therefore Granules is currently in the process of producing documents and preparing witnesses for their upcoming depositions. There have not yet been any settlement demands advanced to Granules.
- b) During the year 2019-20, the Company received a class action suit from a plaintiff stating that one of the products of the Company – Metformin had a carcinogenic element. However, the USFDA obtained test results from the Company and issued a clean report. As of March 31, 2021, the litigation is active. The legal attorney is unable to state that an outcome unfavorable to the Company is either probable or remote, nor they are in a position to provide an estimate of the amount or range of potential loss in the event of an unfavorable outcome.

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NOTE M - RELATED PARTY TRANSACTIONS

A. List of related parties with whom transactions have taken place:

No	Name of the party	Nature of relationship
1	Granules India Limited	Parent company
2	Granules Pharmaceuticals, Inc.	Affiliate company

B. The Company had transactions in the ordinary course of business with the following related parties:

	March 31, 2021	March 31, 2020
Granules India Limited		
<i>Transaction during the year ended</i>		
- Purchase of goods	67,019,520	36,068,083
- Expenses incurred for the Company	101	4,594
<i>Balance</i>		
- Payable as at	27,653,940	13,124,735
Granules Pharmaceuticals, Inc		
<i>Transaction during the year ended</i>		
- Sale of goods	26,735	83,811
- Expenses incurred for the Company	5,000	32,651
<i>Balance</i>		
- Receivable as at	7,625	70,361

NOTE N - REVENUE FROM CONTRACTS WITH CUSTOMERS

The Company's contracts with customers are comprised of purchase orders along with standard terms and conditions. These contracts with customers typically consist of sale of products which represent single performance obligations that are satisfied upon transfer of control of the product to the customer at a point in time. The Company adopted the new revenue recognition standard using the modified retrospective transition approach and determined that the existing revenue recognition practices are in compliance with ASC 606. Accordingly, there was no cumulative effect adjustment to the balance of accumulated surplus in the balance sheet for the year ended March 31, 2020, as the adoption did not result in a change to the timing of revenue recognition.

The following table disaggregates revenue by source of revenue.

	Year ended March 31, 2021	Year ended March 31, 2020
Sale of goods	69,612,400	47,984,460
Total	69,612,400	47,984,460

The following table disaggregates revenue based on geographical regions.

	Year ended March 31, 2021	Year ended March 31, 2020
United States of America	68,575,320	47,076,227
Canada	1,025,440	878,833
Panama	8,400	-
Columbia	3,240	-
Mexico	-	29,400
Total	69,612,400	47,984,460

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The following table presents revenue disaggregated by timing of recognition:

	Year ended March 31, 2021	Year ended March 31, 2020
Products transferred at a point in time	69,612,400	47,984,460
Total	69,612,400	47,984,460

Contract balances

The contract liabilities primarily relate to advance consideration received from customers for sale of products, for which revenue is recorded at a point in time and trade receivables are non-interest bearing and are generally on terms of 60 to 90 days.

	As at March 31, 2021	As at March 31, 2020
Accounts receivable	12,499,200	7,294,619
Advance from customers	-	9,746
Total	12,499,200	7,304,365

NOTE O - GOVERNMENT GRANT

On April 27, 2020, the Company received loan proceeds for an amount of \$407,000 under the Paycheck Protection Program ("PPP"). The PPP, established as part of the Coronavirus Aid, Relief and Economic Security Act ("CARES Act"), provides for loans to qualifying businesses for amounts up to 2.5 times of the average monthly payroll expenses of the qualifying business. The loans and accrued interest are forgivable after Twenty-four weeks ("the covered period") as long as the borrower uses the loan proceeds for eligible purposes, including payroll, benefits, rent and utilities, and maintains its payroll levels. The amount of loan forgiveness will be reduced if the borrower terminates employees or reduces salaries during the covered period.

The Company has already received forgiveness for the loan and therefore, the Company has recognized the entire loan proceeds of \$407,000 as other income during the year ended March 31, 2021.

	As at March 31, 2021
Paycheck protection program loan proceeds (A)	407,000
Total payroll cost incurred during covered period (B)	1,088,516
Business rent & lease payments during covered period (C)	34,523
Business utility payments during covered period (D)	-
Total eligible expenses incurred E= (B+C+D)	1,123,039
Forgiveness amount (Lower of A & E)	407,000

NOTE P - STOCKHOLDER'S EQUITY

The Company had an authorized capital of 2,500,000 shares of its common stock, at \$ 0.10 par value per share at the beginning of the year. The Company had 700,000 common stocks issued and outstanding as of March 31, 2021 and March 31, 2020. There were no shares issued during the year ended March 31, 2021 and March 31, 2020.

NOTE Q - SUBSEQUENT EVENTS

The Company evaluated all events and transactions that occurred after March 31, 2021 up through June 11, 2021, the date the financial statements are available to be issued. Based on the evaluation, there are no material effects of the same on the financial statement as on June 11, 2021, that would require recognition or disclosure.